



March 18, 2025

Rep. Scott Conklin, Chair
House Commerce Committee
314 Irvis Office Building
P.O. Box 202077
Harrisburg, PA 17120-2077

Rep. John A. Lawrence, Republican Chair
House Commerce Committee
105 Ryan Office Building
P.O. Box 202013
Harrisburg, PA 17120-2013

Rep. Ed Neilson
127 Irvis Office Building
P.O. Box 202174
Harrisburg, PA 17120-2174

Rep. Stephenie Scialabba
157 East Wing
P.O. Box 202012
Harrisburg, PA 17120-2012

RE: Letter in Opposition to Pennsylvania HB 78

Dear Chair Conklin, Republican Chair Lawrence, Rep. Neilson, and Rep. Scialabba:

On behalf of the advertising industry, we write to oppose Pennsylvania HB 78.¹ Our organizations support meaningful privacy protections for Pennsylvania residents. However, the bill would require the Pennsylvania Attorney General (“PA AG”) to issue regulations to implement its terms, thereby creating the likelihood for Pennsylvania’s privacy law to become out-of-step with privacy laws in other states. The bill’s rulemaking directive should be removed so Pennsylvania can remain in harmony with approximately 20 other states that have passed privacy legislation to date. In addition, the bill’s opt-out preference signal requirements should be removed, as they set forth a premature technical mandate. While this requirement appears in other state privacy laws, neither lawmakers nor technologists have distilled a consensus approach to these mechanisms to clarify how businesses should receive, recognize, and operationalize them. We therefore ask the House Commerce Committee (“Committee”) to decline to advance HB 78 as drafted. We ask the Committee to instead update the bill to remove its rulemaking authority and opt-out preference signal requirements so the bill provides clear directives to businesses and remains aligned with privacy laws in other states.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.² By one estimate, over 230,000 jobs in Pennsylvania are related to the ad-subsidized Internet.³ We would welcome

¹ Pennsylvania HB 78 (2025 Session), located [here](#) (hereinafter, “HB 78”).

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf.

³ *Id.* at 132-33.

the opportunity to engage with the Committee further on the non-exhaustive list of issues with HB 78 outlined here.

I. HB 78 Should Be Harmonized with Existing State Privacy Laws

Efforts to harmonize state privacy legislation with existing privacy laws are critical to minimizing costs of compliance and fostering similar privacy rights for consumers no matter where they live. A patchwork of differing privacy standards across the states would create significant costs for businesses and consumers alike. As drafted, HB 78 would require the PA AG to issue regulations to implement its terms without any limits on the scope of the conferred rulemaking authority or specificity regarding what issues the office is authorized to address via rulemaking.⁴ As a result, if enacted, HB 78's implementing regulations could contain terms that would bring the Commonwealth significantly out-of-step with privacy laws in other states and potentially create regulatory overreach. To minimize the potential for Pennsylvania's privacy law to diverge drastically from the dominant approach taken across the states, the rulemaking directive in HB 78 should be removed.

Compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 concluded that the initial compliance costs to California firms would be \$55 billion.⁵ Another recent study found that a privacy proposal in Florida would have generated a direct initial compliance cost of \$6.2 billion to \$21 billion and ongoing annual compliance costs of \$4.6 billion to \$12.7 billion for the state.⁶ Other studies confirm the staggering costs associated with varying state privacy standards. One report found that state privacy laws could impose out-of-state costs of between \$98 billion and \$112 billion annually, with costs exceeding \$1 trillion dollars over a 10-year period, and with small businesses shouldering a significant portion of the compliance cost burden.⁷ Harmonization with existing privacy laws is essential to create an environment where consumers in Pennsylvania have privacy protections that are consistent with those in other states, while minimizing unnecessary compliance costs for businesses. Pennsylvania should not add to this compliance bill for businesses and should instead opt for an approach to data privacy that is in harmony with already existing state privacy laws.

⁴ HB 78 at Sec. 10(d).

⁵ See State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations*, 11 (Aug. 2019), located at https://dof.ca.gov/wp-content/uploads/sites/352/Forecasting/Economics/Documents/CCPA_Regulations-SRIA-DOF.pdf.

⁶ See Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida*, 2 (Oct. 2021), located at <https://floridataxwatch.org/DesktopModules/EasyDNNNews/DocumentDownload.ashx?portalid=210&moduleid=34407&articleid=19090&documentid=986>.

⁷ Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at <https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws> (finding that small businesses would bear approximately \$20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).

II. HB 78's Opt-Out Preference Signal Requirements Should Be Removed Because They Would Impose a Premature Technical Mandate

If enacted, HB 78 would require businesses to adhere to “opt-out preference signals” sent with the consumer’s consent by a platform, technology or mechanism that indicate the consumer's intent to opt out of targeted advertising or sales.⁸ The bill provides no information or guidance regarding how businesses should ingest or effectuate such signals. No consensus approach to such signals has developed across the states, and no standard practice has developed in the marketplace for evaluating the veracity of such signals or ensuring they are true expressions of consumers’ choices. This creates the very real threat of government bureaucracies picking winning and losing business models in the market – something that should be avoided. As a result, the proposed requirement is premature. There is no clear approach to these signals that is workable for consumers and businesses. SB 78’s requirement to honor opt-out preference signals is therefore confusing, devoid of necessary detail, and operationally unreasonable for businesses to implement. HB 78 would impose a highly technical requirement on businesses without the necessary technical infrastructure or widely available and applicable lawmaker guidance to support such a mandate. The requirement to adhere to opt-out preference signal should be removed from HB 78.

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We and our members strongly support meaningful privacy protections for consumers. We believe, however, that HB 78 has the potential to diverge significantly from other state privacy laws, creating confusion for consumers and significant compliance challenges for businesses. The bill would also prematurely impose technical opt-out preference signal requirements on businesses. We therefore respectfully ask the Committee to decline to advance HB 78 as drafted and to make updates to the bill to remove its rulemaking authority and opt-out preference signal requirements.

Thank you in advance for your consideration of this letter.

Sincerely,

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⁸ HB 78 at Sec. 5(e)(1)(ii).